

"discounted the news," "anticipated the next advance," "climbed a wall of worry," and "cleansed itself with a small decline."

Finding it difficult to interpret what any of this meant, I undertook a careful review of the previous statements and predictions that had more or less been gathering dust in a corner of our bedroom. These happened to be from the forecasters at Drexel Burnham Lambert, the firm of my wife's broker, who thankfully had continued to do well with her money. By going back over what Drexel had forecast, I hoped to get a feel for the vocabulary and for the general way in which forecasters operated.

Back when I began my odyssey, that is to say, the beginning of the great bull market of 1986, the Drexel experts gave a skittish, and even negative, prognosis for stocks. In December 1985, they still hadn't foreseen that a marvelous run-up was about to occur. Instead, they worried that the economy would pick up steam, which for some reason would depress the stock market. That a vigorous economy would be bad for the stock market was the first of several curiosities I discovered in the Drexel pile. (Soon I learned that the stock market was usually one step ahead of itself, so that during a bad economy, it could optimistically look forward to a good one, but during a good economy, it could only anticipate a forthcoming setback.)

In December 1985, with the Dow Jones average at 1450, Drexel's clients got a report entitled *Digestion*, which again suggested that the "potential for further declines in interest rates may be slight" since the Fed was unlikely to ease credit. What the Fed did was an important element in forecasting, as I mentioned earlier. The same report mentioned that many people were bullish, another bad sign for stocks.

On February 24, two months later and 200 Dow Jones points higher, the latest Drexel statement had no explanation for the impressive advance, other than to call it "heady." Instead, the forecasters were nervous, and warned clients of "the possibility of higher interest rates, plus some profit taking" that would drive stock prices lower.

During February-March, Drexel came out with an update entitled *More Records*. Mentioning none of the negatives cited above,